

Federal Maritime Commission

Docket No. 18-04

Falcone Global Solutions, LLC

v.

Maurice Ward Networks, Ltd. d/b/a Maurice Ward Group:
Maurice Ward & Co., BV,; and Maurice Ward & Co., S.R.O

MOTION FOR MORE DEFINITE STATEMENT
(WITH INCORPORATED BRIEF)

COME NOW Respondents Maurice Ward Networks, Ltd., Maurice Ward & Co., BV and Maurice Ward & Co., S.R.O., through their undersigned counsel, and move for a more definite statement in response to the “Verified Complaint” filed by Falcone Global Solutions, LLC (“Falcone”). *See* 46 C.F.R. § 502.67.¹ In support of this Motion, Respondents show the Administrative Law Judge (“ALJ”), as follows:

Summary of Argument

It is important to keep the named Respondents separate, despite Falcone’s efforts to blur the corporate lines and lump all of the Maurice Ward entities under the banner of “Respondents.” First, Maurice Ward Networks, Ltd. and Maurice Ward & Co., BV – the entities actually involved with the underlying transactions – vigorously deny any wrongdoing with respect to the shipment of cargo at issue, the retention of the Bills of Lading, or any of their actions made subject of the

¹ Respondents specifically reserve all available rights, claims and defenses, submitting the instant Motion on a without prejudice basis.

Complaint herein. Next, and germane to the Motion at hand, Maurice Ward & Co., S.R.O. had nothing to do with the subject transactions, and is listed nowhere on the Exhibits submitted with the Complaint. Plaintiff must provide a more definite statement as to why it has named Maurice Ward & Co., S.R.O. as a Respondent, as well as describe with specificity this company's role/interactions with other Respondents vis-à-vis the subject transactions.

Background and Procedural History

1. Separate Corporate Entities.

Maurice Ward & Co., S.R.O. is a corporation, or an entity in the nature of a corporation, organized and existing under the laws of the Czech Republic, with its principal place of business in the Czech Republic.

Maurice Ward & Co., BV is a corporation, or an entity in the nature of a corporation, organized and existing under the laws of the Netherlands, with its principal place of business located in that country.

Finally, Maurice Ward Networks, Ltd. is a corporation, or an entity in the nature of a corporation, organized and existing pursuant to the laws of the United Kingdom, with its principal place of business in the United Kingdom.

2. Course of Conduct/Exercise of Right of Retention.

The U.K. entity (Maurice Ward Networks, Ltd.) and the Dutch entity (Maurice Ward & Co., BV), have been providing services for Falcone for transport of cargo since 2013.² Booking arrangements are initiated via email exchange between Falcone and Maurice Ward & Co., BV (Dutch entity). The email correspondence from Maurice Ward & Co., BV incorporates the

² Plaintiff's Complaint erroneously states that these two entities acted as NVOCC's for Falcone and the subject cargo. This is not correct, and neither Maurice Ward Networks, Ltd. nor Maurice Ward & Co. BV act as carriers and/or issue their own bills of lading as if they were carriers.

standard Dutch Freight Forwarder Conditions, referenced in the Netherlands by the acronym FENEX (“FENEX”). The right of retention (i.e., the right to retain documents of title such as bills of lading) is specifically allowed by Dutch law and FENEX until full payment is received for services. The scope of this right allows retention to encompass not only pending transactions, but all amounts due and owing for services previously provided.

Pursuant to correspondence dated April 14, 2018, counsel for Maurice Ward & Co., BV notified Falcone of its intent to exercise the right of retention for certain bills of lading because payment for services had not been received, despite promises the same would be forthcoming. By that point, a significant and aging accounts receivable was due from Falcone. Through its Dutch counsel, Maurice Ward & Co., BV soon thereafter made application to the Commercial Court of Rotterdam (Netherlands) to formalize retention of documents. This is a summary proceeding, and the Dutch Court approved the request, directing that a Court Officer deliver the appropriate notice so that the action could be perfected. However, before this final step could be completed, Falcone provided a Bank Guarantee (dated May 4, 2018) for its obligations, thus suspending the legal proceedings.

3. **Falcone’s Failure to Provide Accounting.**

As part of the Bank Guarantee, Falcone is obligated to provide a detailed explanation of all disputed amounts otherwise due and owing to Maurice Ward & Co., BV (Dutch) and Maurice Ward Network, Ltd. (U.K.). This accounting must be provided within three (3) months from the date of the Guarantee (i.e., on or before August 4, 2018). Rather than comply with its obligations under the Bank Guarantee – again, which was effected to suspend Dutch legal proceedings – Maurice Ward instead took to the American courts, filing a lawsuit in the State Court of Fulton, Georgia: *Falcone Global Solutions, LLC v. Maurice Ward Networks, Ltd., et al.*, No. 18-EV-002196 (filed May 14, 2018). Later, the instant Complaint was filed with the Commission,

essentially making the same allegations of the Georgia State Court Complaint, but also (for reasons unexplained) seeking to terminate the FMC registration of Maurice Ward & Co., S.R.O. (Czech entity).

4. **Ambiguity in Pleading.**

As set forth below, it is entirely unclear and never explained by Falcone why it has included Maurice Ward & Co., S.R.O as a respondent in this Complaint. Against the factual background set forth above, and based on the arguments and authorities set forth below, Falcone must provide a more definite statement as to its claims against Maurice Ward & Co., S.R.O. — as well as the Company’s role/interactions with the other Respondents vis-à-vis the subject transactions — pursuant to 46 C.F.R. § 502.67.

Argument and Authorities

The Complaint fails to state how or why Maurice Ward & Co., S.R.O. is named as a Respondent. None of the materials submitted by Claimant reference the Czech company:

- Exhibit 2 to Complaint (“Independent Contractor Agreement”). While reserving its objection to the application thereof, Respondents show the Court that this document only references Maurice Ward Networks, Ltd.
- Exhibit 3 (various Bills of Lading, Waybills, etc.). The ALJ should take note of the fact that none of these documents list “Maurice Ward & Co., S.R.O” or identify any role such entity had in the activities encompassed by such documentary evidence.
- Exhibit 4 (spreadsheet/ledger showing amount due and owing from Falcone). The ALJ is invited to review Exhibit 4, demonstrating the significant and aged accounts receivable due and owing from Falcone to both Maurice Ward Networks, Ltd. (U.K. entity) and Maurice Ward & Co., BV (Dutch entity). Again, there is no reference to Maurice Ward & Co., S.R.O. (Czech entity); reference is made only to “MWN UK” (Maurice Ward Networks, Ltd.), and “MW NL” (Maurice Ward & Co. BV).

The Complaint makes no attempt to segregate the three (3) separate corporate entities. Rather, Falcone simply makes allegations collectively against “Respondents,” without any specificity as to their role (if any) in the underlying transactions. More importantly, there is no allegation of any wrongdoing levied against Maurice Ward & Co., S.R.O. (Czech entity), nor an explanation of why this entity is named in the suit in the first place (other than as a jurisdictional “hook” to bring this matter before the Commission).³

There is no allegation of improper corporate practices that would suggest, much less support, piercing the corporate veil or an alter ego theory. Your Honor is aware such action is not done lightly. *See, e.g., Subway Equipment Leasing Corp. v. Sims*, 994 F.2d. 2010, 2018 (5th Cir. 1993) (describing application of alter ego doctrine and piercing the corporate veil as “truly exceptional doctrines, reserved for those cases where the officers, directors or stockholders utilized a corporate entity as a shame to perpetrate a fraud, to shun personal liability, or to encompass other truly unique citations.”).

Under federal common law, the Plaintiff must prove three (3) elements in order to pierce the corporate veil: (1) control, not mere majority or complete stock ownership, but complete domination of the subordinate entity; (2) such control was used to commit a fraud or wrong; and (3) such control and a breach of duty proximately caused the damages or loss complained of. *See Holt v. F/V Sir Martin E., Inc.*, 2014 U.S. Dist. LEXIS, at *4-5 (N.D. Fla. 1/6/2014) (internal citations omitted). Again, the lack of specificity in the Complaint makes it impossible to identify what role (if any) Maurice Ward & Co., S.R.O. had in the underlying transactions. There is

³ Maurice Ward & Co., S.R.O. is registered with the FMC (Organization No. 022996).

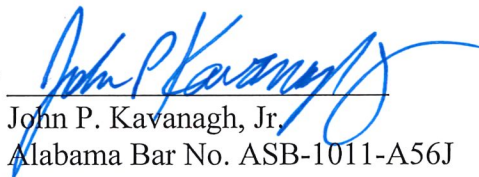
certainly a deficiency in the pleading to satisfy the requirements of Fed.R.Civ.P. 9(b) requiring that fraud or mistake be pled with particularity.⁴

Conclusion

The complete failure to identify or explain the role of Maurice Ward & Co., S.R.O. in the underlying transaction – or why the Company is even named as a Respondent in the first place – requires Plaintiff to provide a more specific statement, pursuant to 46 U.S.C. § 502.67.

Undersigned counsel, per 46 C.F.R. § 502.2 (f)(3), certifies that this e-filed copy is a true and correct copy of the paper original, and that the paper signed original and five (5) copies are being filed with the Secretary of the Commission.

Respectfully submitted this the 12th day of July, 2018.



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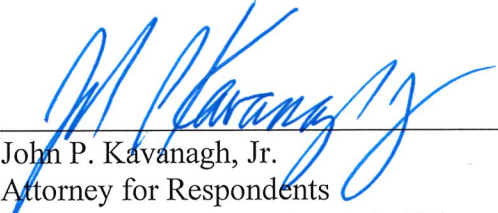
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⁴ Inasmuch as the Commission's rules do not cover pleading special matters, the dictates of Fed.R.Civ.P. 9(b) would otherwise apply. 46 C.F.R. § 502.12.

CERTIFICATE OF SERVICE

I hereby certify that I have this the 12th day of July, 2018, served a copy of the foregoing document upon all parties of record by electronic mail (email).



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